

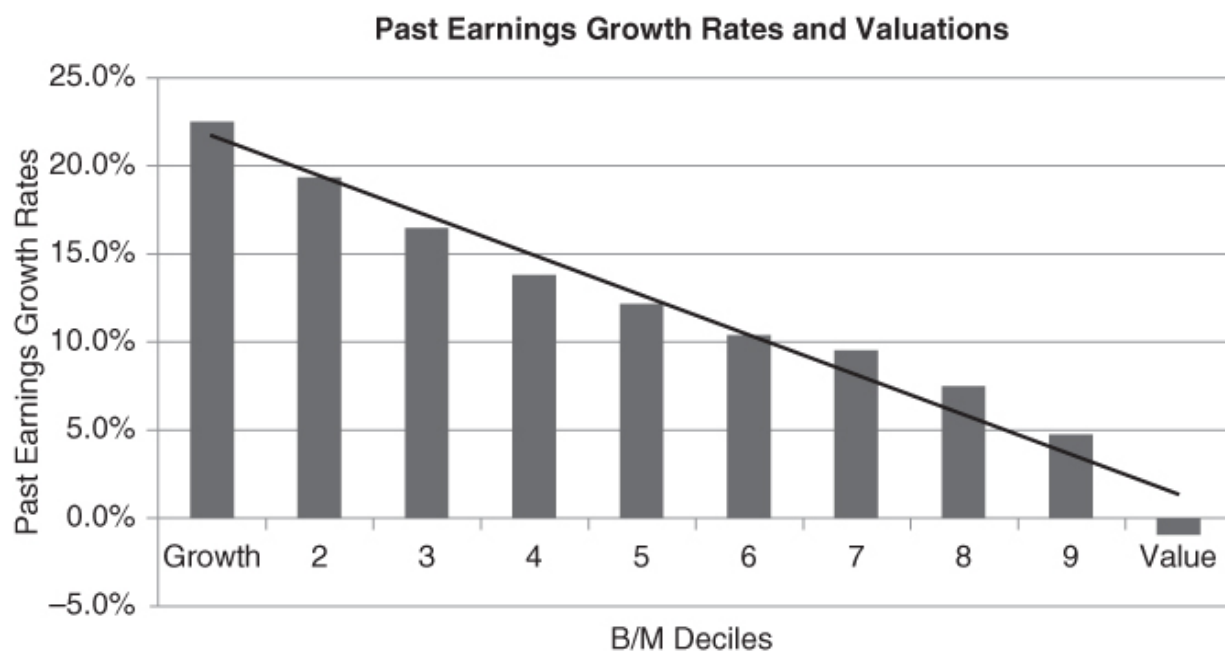


Figure 8.1 Past 5-Year Earnings Growth Rates and Prices

The picture in [Figure 8.1](#) splits firms into 10 portfolios based on their book-to-market ratio. The far left bucket contains the most expensive firms (growth firms), while the far right bucket contains the cheapest firms (value firms). The gray bars represent past earning growth rates over 5 years. There is a clear linear relationship between price and past growth rates: Higher prices are associated with higher past growth rates. Investors see these past growth rates and extrapolate them into the future, which is why growth stocks are expensive and why value stocks are cheap. However, *investors fail to account for mean reversion in future earnings growth rates*: High past growth rates end up lower in the future than they have been in the past and low past growth rates end up higher in the future than they have been in the past.

[Figure 8.2](#) takes the same 10 portfolios from [Figure 8.1](#) and examines these portfolios' realized *future* 5-year earnings growth rates. Note the mean reversion—growth rates are all similar across the valuation buckets. Value outperforms growth because expensive securities have realized growth rates that are lower than expectation, while cheap securities have higher than expected growth rates. The market is consistently—and predictably—surprised by mean-reversion in earnings growth. As long as investors suffer from representative bias, and continue to extrapolate past performance into the future—failing to account for mean-reversion—there will be a predictable spread in the returns between value and growth stocks due to mispricing and not due to differences in risk between value and growth firms.